

Coforge's headline Q1 FY27 growth of 49% YoY is real, but the underlying organic growth it is layered on is only $\approx 1\%$ YoY once the \$2.35bn Encora acquisition and exited low-margin businesses are stripped out. Margins are genuinely improving and free cash flow conversion has turned sharply positive. Set against that: an independent Chairman and the NRC Chair both resigned within days of each other in September 2026 after an internal audit found board-evaluation findings were not shared with the full board, and leverage is stepping up materially for the first time in years to fund the acquisition. Our own consensus-anchored DCF and peer-multiple cross-checks land close to the current price; the sell-side average sits well above it. We initiate at HOLD with a 12-month target of ₹1,900 (+6.5%).

INVESTMENT SUMMARY

- **Scale jumped, organically growth did not (yet):** Q1 FY27 (Jun-26) consolidated revenue rose 49.2% YoY to ₹5,527.7cr, but Encora alone contributed \$100.7m of the \$592.2m quarterly total, and organic constant-currency growth YoY was only $\approx 1.1\%$ (5.2% QoQ ex-exited businesses). The growth story right now is almost entirely inorganic.
- **Margins and cash conversion are genuinely improving:** Q1 FY27 EBIT margin hit 16.0% (organic 16.7%), already ahead of full-year FY27 guidance of 15.5%+ consolidated; free cash flow conversion swung to 95.3% of PAT from -56.5% a year earlier.
- **A live, unresolved governance red flag:** independent Chairman O.P. Bhatt resigned 8-Sep-26 and independent director/NRC Chair D.K. Singh resigned 11-Sep-26, days after a KPMG-conducted internal audit found board-evaluation findings had not been shared with all directors. The stock fell $\approx 8-9\%$ around the news; most brokers have treated it as a process issue rather than a fundamentals issue, but it is unresolved as of this report.
- **Leverage is stepping up for the first time in years:** total debt is set to rise from $\approx ₹1,500\text{cr}$ (FY26A) toward $\approx ₹4,000\text{cr}$ (FY27E, per Visible Alpha consensus cited by S&P Global) as the \$550m loan used to refinance Encora's existing debt comes onto the balance sheet, alongside $\approx 20\%$ shareholder dilution from the all-stock consideration paid to Encora's sellers.
- **The Street is more bullish than we are:** broker targets cluster ₹1,860–2,200 (mostly Buy/Overweight), largely on forward P/E and SOTP-style methods; our own consensus-anchored DCF and peer cross-checks land nearer ₹1,850–1,930, and a pure-organic DCF (excluding further M&A) would suggest meaningfully lower value. We set our target at the upper end of our own range, ₹1,900, and rate HOLD rather than follow the sell-side average to Buy.

LATEST QUARTER SNAPSHOT - Q1 FY27 (quarter ended 30-Jun-2026)

₹ cr (consolidated)	Q1 FY27	YoY	Comment
Revenue	5,527.7	+49.2%	First quarter with Encora consolidated (from 1-May-26)
EBITDA	1,123.3	+73.6%	Margin 20.3%, +285bps YoY
EBIT	882.2	+101.4%	Margin 16.0% (organic ex-Encora: 16.7%), ahead of FY27 guidance
PAT (continuing ops)	518.6	+109.8%*	*+63.4% on a like-for-like base; EPS ₹12.34 missed consensus of ₹13.82
Free cash flow	≈ 440	–	\$52.9m, 95.3% of PAT (vs -56.5% conversion a year ago)
Executable order book (NTM)	\$2.23bn	+27% QoQ	\$691m TCV order intake in the quarter

Source: Coforge Q1 FY27 press release (28-Jul-26); India Infoline, DQ India, Business Standard, Quartr coverage of the same results.

KEY FINANCIALS - CONSENSUS-ANCHORED BASE CASE (₹ cr; FY ends March)

	FY26A	FY27E	FY28E	FY29E
Revenue		16,403	24,400	27,816
growth YoY		35.9%	$\approx 49\%$	14%
EBITDA		3,046	4,880	5,702
margin		18.6%	20.0%	20.5%
EBIT		2,365	3,831	4,590
PAT		1,556	$\approx 2,700$	$\approx 3,300$

FY27E revenue/EBITDA per Visible Alpha consensus as reported by S&P Global Market Intelligence (16-Jun-26); FY28E/FY29E growth rates from the same source; margin build and PAT are this report's own estimates layered on that consensus (Section 6).

RATING

HOLD

12-month target price	₹1,900
Current price (25-Sep-26)	₹1,784
Upside to TP	+6.5%
Street average TP (Buy-leaning)	$\approx ₹1,950-2,000$

KEY DATA

Market cap	$\approx ₹79,100\text{ cr}$
52-week range	₹1,008 – ₹2,021
Shares outstanding	$\approx 44.3\text{ cr}$
FY26A revenue	₹16,403 cr
FY26A EBIT margin	14.4%
Trailing P/E (this report, clean)	$\approx 51\times$
Trailing P/E (as published, varies)	37x–66x
Forward FY27E P/E (this report)	$\approx 29\times$
Net debt (FY26A)	Near net cash
Net debt (FY27E, post-Encora)	Rising, $\approx ₹2,500\text{cr}+$
CEO	Sudhir Singh

VALUE / SHARE (₹)

Method	Value
DCF, organic-consensus base case	1,077
Forward P/E cross-check (peer avg.)	1,830
Forward EV/EBITDA cross-check	1,706 – 1,927
Sell-side broker target range	1,300 – 2,200
This report's 12-m target	1,900

Basis of target price. TP = the upper end of this report's own comps-based cross-checks (forward P/E and EV/EBITDA applied to FY27E consensus earnings), which cluster ₹1,700–1,930 — well above our own bottom-up, organic-consensus DCF of ₹1,077 (which excludes further M&A and treats management's \$5bn-by-FY30 ambition as upside optionality, not base case) and below the sell-side average of $\approx ₹1,950-2,000$. We rate HOLD rather than follow the Street to Buy, given the unresolved governance situation and the very small organic-growth base beneath the acquisition-led headline numbers (Section 7).

1 Investment thesis & catalysts

A real AI-native repositioning, funded by the largest acquisition in Indian IT engineering history, running through a live governance test

Coforge has spent FY26 and the first half of FY27 transforming itself from a solid mid-tier IT services compounder into a much larger, AI-positioned digital engineering platform. It completed the amalgamation of Cigniti Technologies (a quality-engineering specialist, effective 29-Apr-26) and closed the \$2.35–2.36 billion all-stock acquisition of Encora Digital (effective 1-May-26) — by several accounts the largest engineering R&D acquisition ever made by an Indian IT company. Both deals genuinely expand capability and geographic reach. The open question for this report is how much of the resulting growth is durable and organic versus a one-time consolidation effect, and whether a live governance issue at board level changes the risk calculus before that question is answered.

1 Encora adds real capability, at real cost Encora brings an AI-native engineering franchise, the AIVA agentic platform, deep LatAm near-shore delivery, and expands Coforge's Hi-Tech and Healthcare verticals (each \$170m+ run-rate) and its US West/Midwest footprint. It was funded entirely in Coforge stock (≈20% dilution) plus a new \$550m loan to refinance Encora's own debt — a genuine step-up in balance-sheet risk versus Coforge's historically light-debt profile.	2 Margins and cash conversion are the clearest positive FY26A EBIT margin expanded 370bps to 14.4%, beating the company's own 14% guidance; Q1 FY27 EBIT margin reached 16.0% (17.7% cited elsewhere as "organic"), already above FY27 guidance of 15.5%+. Free cash flow conversion swung from –56.5% of PAT a year ago to 95.3% in Q1 FY27.	3 Organic growth is the thin end of a very large wedge Strip out Encora and businesses Coforge deliberately exited (low-margin India government pass-through work, a data-centre unit), and Q1 FY27 organic constant-currency growth was ≈1.1% YoY (5.2% QoQ). The 49% headline growth number is a true and useful fact about scale, but a poor guide to underlying demand.	4 Governance: unresolved as of this report Independent Chairman O.P. Bhatt and independent director/NRC Chair D.K. Singh both resigned within three days of each other in September 2026, following an internal KPMG audit that found board-evaluation findings had not been shared with the full board. Most brokers have kept Buy ratings through this, framing it as a process failure rather than a financial one — we think it deserves to be carried as a live, monitored risk rather than dismissed.
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Timing	Catalyst / event	Why it matters
≈23 October 2026	Q2 FY27 results (board meeting scheduled)	First full quarter with Encora fully in the base; the key number to watch is organic CC growth, not the headline YoY figure
Ongoing	\$14m mark-to-market hedge loss to be recognised over the next two quarters (per Q1 FY27 disclosure)	A known, quantified near-term drag on reported earnings, separate from operating performance
Ongoing	Board reconstitution after the Chairman/NRC Chair resignations	Tests whether this remains a contained governance-process issue or evolves into something that affects capital allocation or strategy
FY27–29	\$550m debt paydown (management's stated 3-year plan)	Tests capital discipline once the Encora integration capex/opex has been absorbed
Structural	Momentum AI unit and Nuuron AI Operating System rollout	Coforge's own attempt to monetise the AI shift rather than simply absorb headcount-linked disruption industry-wide

What would change our view

- Higher:** organic constant-currency growth re-accelerates convincingly past the ≈1% YoY / ≈5% QoQ Q1 FY27 print, and the board situation is resolved with credible new independent directors without further departures.
- Lower:** further board or governance developments, integration costs or amortisation drag from Encora running ahead of what's already disclosed, or a slower-than-guided debt paydown that keeps leverage elevated for longer.

Sources are listed in Appendix B. Not investment advice – see disclaimer, p.11.2

2 Company overview & recent corporate actions

From NIIT Technologies to an AI-native engineering platform, via two major deals inside 18 months

Coforge Limited (founded 1992 as NIIT Technologies, rebranded 2020, headquartered in Noida/Greater Noida) is an Indian IT and digital engineering services company under CEO Sudhir Singh. Historically anchored in Banking & Financial Services, Travel & Transportation, and Insurance verticals, the company has used a series of acquisitions (Incessant, WHISHWORKS, SLK, Cigniti, and now Encora) to add capability and scale, culminating in two major corporate actions completed in 2026.

CIGNITI AMALGAMATION

- Cigniti Technologies (a quality-engineering/testing specialist in which Coforge held a majority stake since an earlier acquisition) was formally amalgamated into Coforge effective 29 April 2026.
- Cigniti shareholders received Coforge shares on a 1:1 swap ratio; the record date for the exchange was set at 16 May 2026.

ENCORA ACQUISITION

- Deal value: \$2.35–2.36 billion, announced 26 December 2025, closed 23 April 2026, consolidated into Coforge's financials from 1 May 2026 — described by several outlets as the largest engineering R&D acquisition ever made by an Indian IT company.
- Structure: entirely stock-funded consideration (≈9.38 crore new Coforge shares issued to Encora's sellers — funds managed by Advent International and Warburg Pincus — at ₹1,815.91/share, ≈20% dilution to existing shareholders), plus a separate \$550m three-year loan at a fixed 4.6% rate used to refinance Encora's own existing debt (not to fund the equity consideration).
- Rationale: adds an AI-native engineering franchise and the AIVA agentic AI platform, deep LatAm near-shore delivery capacity, and expands Coforge's Hi-Tech and Healthcare verticals (each \$170m+ run-rate) plus its US West/Midwest client footprint.
- Management's stated ambition, cited around the deal: double combined revenue to roughly \$5 billion by FY30 from a combined base of ≈\$2.4bn at the time of closing — a target explicitly reliant on continued strategic M&A, not organic growth alone.

GOVERNANCE DEVELOPMENTS (SEPTEMBER 2026)

- An internal audit conducted by KPMG found that critical findings from the company's board-evaluation process had not been shared with all board members.
- Non-Executive Independent Chairman O.P. Bhatt resigned on 8 September 2026; the stock fell ≈8–9% around the announcement.
- Independent Director and NRC (Nomination & Remuneration Committee) Chairperson D.K. Singh resigned three days later, on 11 September 2026.
- Most brokerages covering the stock reiterated Buy ratings through this news, framing it as a governance-process issue rather than one affecting underlying fundamentals or deal momentum; the board's reconstitution was not complete as of this report.

OTHER RECENT DEVELOPMENTS

- Board gave in-principle approval to set up a subsidiary entity in China (disclosed alongside Q1 FY27 results).
- Coforge exited a low-margin India government "pass-through" business and divested a data-centre unit — a deliberate near-term revenue headwind intended to improve the long-run margin mix.
- Interim dividend of ₹4/share declared alongside Q1 FY27 results (yield ≈0.7–0.9% at current price).
- Launched "Momentum AI," a dedicated operating unit for enterprise AI transformation built on the company's Forward Deployed Engineer model and its Nuuron AI Operating System.

Business mix after Encora

Vertical / capability	Contribution
Legacy Coforge core (BFS, Travel & Transportation, Insurance)	Historic anchor verticals; India/UK/Europe-weighted delivery
Encora-added: Hi-Tech, Healthcare	Each at a \$170m+ run-rate at the time of acquisition
Combined AI-led "core"	Management guided to ≈\$2bn of AI-led product engineering (≈\$1.25bn), cloud (≈\$500m) and data engineering (≈\$250m) revenue in FY27
Geography	North America revenue expected to rise toward \$1.4bn+ post-Encora; added LatAm near-shore delivery presence

Source: ICICI Direct deal note (29-Dec-25); Coforge press releases and investor materials, as cited in Appendix B.

Sources are listed in Appendix B. Not investment advice – see disclaimer, p.11.3

3 Latest quarter in detail & Street targets

Q1 FY27 (quarter ended 30-Jun-2026), reported 28-Jul-2026 – the first quarter with Encora fully consolidated

₹ cr (consolidated)	Q1 FY27	Q1 FY26	YoY	Note
Revenue	5,527.7	3,705*	+49.2%	*Implied from the +49.2% growth figure; USD revenue +33.3% YoY, +21.1% QoQ
EBITDA	1,123.3	647*	+73.6%	Margin 20.3%, +285bps YoY, but –30bps QoQ from 20.6%
EBIT	882.2	438*	+101.4%	Margin 16.0% (+414bps YoY, –60bps QoQ); organic ex-Encora margin 16.7% (+486bps YoY)
PAT (continuing operations)	518.6	247*	+109.8%	+63.4% on a base restated for discontinued operations
EPS (₹)	12.34	–	+67.3%	Missed the analyst consensus estimate of ₹13.82
Free cash flow	≈440 (\$52.9m)	–	–	95.3% of PAT, vs –56.5% conversion in the year-ago quarter
Order intake (TCV)	\$691m	–	–	–
Executable order book (NTM)	\$2,228m	–	+27% QoQ	Company's stated near-term revenue visibility metric
Headcount	46,228	35,777**	+10,451 QoQ	**FY26A year-end figure; increase mainly reflects Encora integration
Attrition	10.4%	–	–	Down from 10.8% sequentially

Sources: Coforge Q1 FY27 press release (28-Jul-26); India Infoline, Investing.com/DQ India, Business Standard and Quartr coverage of the same results. Results for the quarter are explicitly flagged by the company as not comparable with prior periods due to the Encora consolidation and discontinued-operations restatement.

The number that matters most: organic growth. Consolidated constant-currency growth was +22.3% QoQ, but Coforge's own underlying organic constant-currency growth was considerably lower, at ≈1.1% YoY. Organic CC growth improved to 5.2% sequentially once businesses the company deliberately exited during the quarter are excluded — a figure management highlighted as exceeding its own broadly-flat internal revenue guidance for the base business, but still a small number set against a 49% headline.

FY27 guidance (management, as of Q1 FY27 results)

Metric	Guidance
EBITDA margin (consolidated)	20.5%–21%
EBIT margin	16.5%–17% standalone; 15.5%+ consolidated
Free cash flow / PAT	Expected to exceed 100% for FY27

Street targets (as reported, September 2026 unless noted)

Broker	Rating	TP (₹)	Basis / date
Motilal Oswal	Buy	2,200	29x FY28E EPS; reiterated post-governance news
PL Capital	Buy	2,120	28x FY28E EPS
Morgan Stanley	Overweight	2,060	–
JM Financial	Add	1,980	Unchanged
ICICI Securities	Buy	1,950	Reiterated 28-Jul-26
Nirmal Bang	Hold	1,971	Mid-September 2026
Kotak Institutional Equities	Buy	2,000	–
Nomura	Buy	1,860	–
Emkay Global	Buy	1,550	Raised from ₹1,400
Ambit	Sell	1,300	Outlier bear case
This report	Hold	1,900	Comps cross-check upper end (Section 7)

Source: BusinessToday brokerage roundups (16–18 Sep-26), TipRanks analyst aggregation, and individual broker-note coverage as cited in Appendix B. Aggregated consensus across data providers leans Buy ("Moderate Buy") but is not unanimous. Most listed targets use forward P/E or SOTP-style methods rather than a single group DCF, which is one reason they sit above our own DCF-anchored view.

Sources are listed in Appendix B. Not investment advice – see disclaimer, p.11.4

4 Industry backdrop & peer snapshot

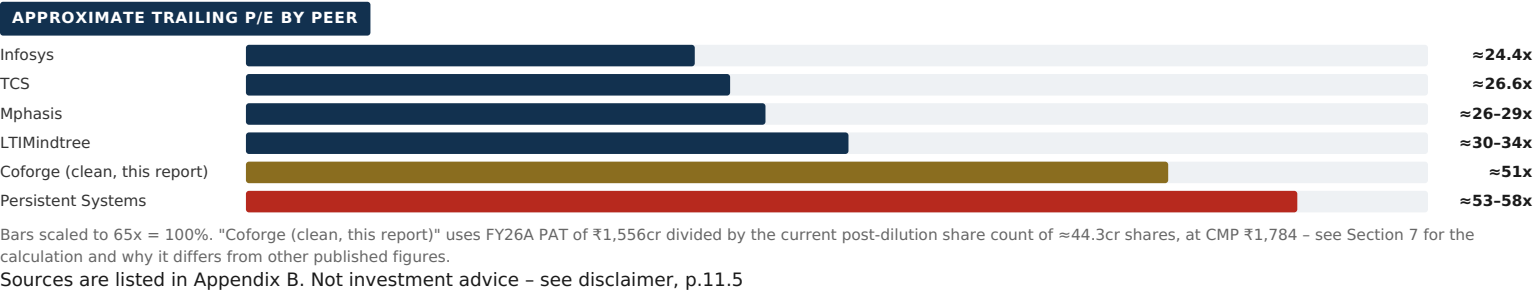
Large-cap Indian IT has been re-rated down hard on AI-disruption fears; mid-tier names, Coforge included, have been the relative outperformers

- Sector re-rating:** the combined market cap of TCS, Infosys, Wipro, HCL Technologies and Tech Mahindra fell more than 46% from a record ≈₹33.7 lakh crore in August 2024 to ≈₹18.15 lakh crore by July 2026, as generative-AI disruption fears and demand softness weighed on large-cap IT services multiples.
- Mid-tier outperformance:** multiple brokerages (Jefferies, Motilal Oswal, Kotak, Nuvama) have named Coforge, Persistent Systems and Mphasis as relative outperformers within the sector through 2026, on the view that smaller, more nimble players can pivot faster into AI-led delivery models than Tier-1 incumbents.
- Sector demand:** brokerage sector previews through the year have generally pointed to modest sequential constant-currency growth for large-caps and continued outperformance for the mid-tier cohort, though with wide dispersion month to month.

Peer Snapshot (Approximate, September 2026)			
Company	Approx. market cap	P/E (trailing, as reported)	Positioning
Coforge	≈₹79,100 cr	37x-66x (varies by source)*	Mid-tier; now AI-native/engineering-led post-Encora
TCS	≈₹12-13 lakh cr	≈26.6x	Tier-1 bellwether; largest by market cap
Infosys	₹4,05,909 cr	≈24.4x	Tier-1; 2nd largest by market cap
LTIMindtree	≈₹1,66,000 cr	≈30-34x	Tier-1/2 boundary; L&T group company
Mphasis	≈₹51,000-54,000 cr	≈26-29x	Mid-tier; BFSI and BPO-weighted
Persistent Systems	≈₹90,000-91,000 cr	≈53-58x	Mid-tier "growth compounder" premium multiple; digital engineering pure-play

*Coforge's own trailing P/E is reported inconsistently across data providers (Yahoo Finance ≈36.6x on a TTM basis vs Bajaj Broking/other aggregators ≈65.6x), almost certainly reflecting different treatments of continuing-vs-discontinued operations and pre/post-dilution share counts around the Cigniti and Encora transactions – see the data-quality flag in Section 7. Market cap and P/E figures for peers are approximate, drawn from Screener.in, TipRanks and Investing.com snapshots taken across September 2026 and should be treated as indicative rather than exact as-of-date figures.

Persistent Systems trades at the highest multiple in this set (≈53-58x trailing P/E, ≈37.7x LTM EV/EBITDA per Investing.com), reflecting a market premium for its higher-growth digital engineering positioning — the closest analogue to what Coforge is now trying to become post-Encora. Coforge's own multiple, once cleaned up for the M&A-related distortions in trailing EPS, sits meaningfully below Persistent's on a trailing basis but closer to it on a forward basis (Section 7) — consistent with a market that is already partly pricing in the AI-native repositioning, but has not yet re-rated Coforge all the way to Persistent's premium.



5 Historical financial analysis

FY26A was a genuinely strong year even before Encora; comparability breaks down from Q1 FY27 onward

₹ cr (consolidated)	FY25A	FY26A	YoY
Revenue	12,073*	16,403	+35.9%
EBITDA	1,722*	3,046	+76.9%
EBITDA margin	14.3%*	18.6%	+431bps
EBIT	1,294*	2,365	+82.7%
EBIT margin	10.7%*	14.4%	+370bps
PAT	812*	1,556	+91.6%
Q4 (Mar-quarter) revenue	–	4,450–4,473	–
Q4 (Mar-quarter) PAT	–	612.3	+145%

*FY25A figures backed out from FY26A actuals and the reported YoY growth percentages in Coforge's FY26 results press release (5-May-26); Coforge does not appear to have separately restated a clean FY25A comparative in the sources reviewed for this report, so these are derived, not directly disclosed, figures. Q4 FY26 revenue is reported inconsistently across sources (₹4,450.4cr per one outlet, ₹4,472.6cr per another) – a small (<0.5%) discrepancy, noted for completeness.

A genuine comparability break, not just a caveat. FY26A was Coforge's last full year before either the Cigniti amalgamation (effective 29-Apr-26) or the Encora acquisition (effective 1-May-26) affected the share count or the consolidated business. Every quarter from Q1 FY27 onward carries a materially different share count (≈44.3cr vs. a pre-merger base the company itself estimated closer to 35–37cr) and a materially different, larger consolidated business. Any trailing-twelve-month ratio computed across this boundary — P/E in particular — will mix pre- and post-transaction periods and can look distorted unless computed with care. This is the direct cause of the wide P/E range (37x–66x) different data providers report for the stock today.

Reading the numbers

- FY26A margin recovery was real and broad-based across EBITDA, EBIT and PAT**, and came in ahead of the company's own guidance (14.4% actual EBIT margin vs. 14% guided) — a track record of slightly under-promising that we'd note as a positive when assessing FY27 guidance credibility.
- Free cash flow conversion was volatile quarter to quarter** around the FY26/FY27 boundary (Q1 FY26 conversion was reported as negative), before swinging sharply positive in Q1 FY27 — management attributes this to working-capital discipline and lower ESOP/depreciation drag, though one quarter is not yet a trend.
- Headcount and attrition** moved from 35,777 (FY26A year-end) to 46,228 (Q1 FY27), an increase of 10,451 driven almost entirely by Encora's headcount coming onto the books; attrition improved slightly to 10.4% from 10.8%.

Sources are listed in Appendix B. Not investment advice – see disclaimer, p.11.6

6 Forecasts

Anchored to third-party consensus where available (FY27–29), our own conservative extension beyond that, clearly labelled

₹ cr	FY27E	FY28E	FY29E	FY30E*	FY31E*	
Revenue	24,400	27,816	31,432	34,890	38,379	
growth	≈49%	14%	13%	11%*	10%*	
EBITDA margin	20.0%	20.5%	21.0%	21.3%*	21.5%*	
EBIT margin	15.7%	16.5%	17.2%	17.8%*	18.3%*	
Capex % revenue	3.6%	3.6%	3.6%	3.6%*	3.6%*	

FY27E revenue and FY28E/FY29E growth rates: Visible Alpha consensus as reported by S&P Global Market Intelligence (16-Jun-26). FY27E EBITDA margin implied by the same source's FY27E EBITDA figure of ≈₹4,880cr. EBIT margins, capex intensity and everything marked * are this report's own assumptions, built to be consistent with management's FY27 guidance range and Coforge's own FY26A historical capex intensity (not assumed to shrink, unlike a common analyst error of extrapolating a declining capex ratio through a period of continued growth).

Why FY27E growth is ≈49% and FY28E/29E growth is only 13–14%. The FY27E figure captures a full year of Encora consolidated against a FY26A base that had none; FY28E and FY29E consensus growth rates are closer to what the combined, already-merged entity is expected to grow organically plus any bolt-on effect already visible to analysts as of mid-2026. Management's own ambition to double revenue to \$5bn by FY30 would require growth well above these consensus rates and, by the company's own framing, assumes further acquisitions — which this report's base case deliberately excludes as unquantifiable upside rather than a base-case assumption.

Reality check against guidance

Metric	FY27E (this report)	Guidance / benchmark	Verdict
EBITDA margin	20.0%	Guided 20.5%–21%	Sits just below the guided range – a modest, deliberate conservatism
EBIT margin	15.7%	Guided 15.5%+ consolidated; Q1 FY27 already at 16.0%	Consistent with guidance and the quarter already delivered
Revenue growth	≈49%	\$2.23bn executable order book (NTM) provides near-term visibility	Order book supports near-term revenue; organic growth within that figure is the open question (Section 3)
Capex intensity	3.6% of revenue	FY26A actual ≈3.6%*	Held flat rather than assumed to decline as the business scales

*Coforge does not appear to disclose capex as a standalone line as granularly as some peers; the 3.6% figure is this report's estimate based on available cash-flow disclosures and is presented as indicative rather than a precise, company-confirmed number.

Sources are listed in Appendix B. Not investment advice – see disclaimer, p.11.7

7 Valuation

Three methods, a real divergence, and a target set at the upper end of our own cross-checks rather than at the Street average

We built our own five-year FCFF DCF from the consensus-anchored forecasts in Section 6, rather than relying on any single broker's model. Given the wide, genuinely conflicting range of trailing P/E figures different data providers report for Coforge (Section 5), we also computed our own "clean" trailing and forward multiples directly from reported PAT and the current, post-dilution share count, and cross-checked those against peer multiples.

₹ cr	FY27E	FY28E	FY29E	FY30E	FY31E
NOPAT	2,835	3,397	4,001	4,595	5,197
+ D&A	1,049	1,113	1,194	1,221	1,228
– Capex	(878)	(1,001)	(1,132)	(1,256)	(1,382)
– Working-capital build	–	(273)	(289)	(277)	(279)
FCFF	3,006	3,234	3,774	4,284	4,765
Discount factor @ 12.5% WACC	0.889	0.790	0.702	0.624	0.555
PV of FCFF	2,672	2,556	2,651	2,675	2,644

DCF output (₹ cr)	Value	Cross-check	Value / share (₹)
Sum of PV of FCFF	13,197	Forward P/E (peer-average ≈30x on FY27E EPS ≈₹61)	1,830
Terminal value (g=5%)	66,704	Forward EV/EBITDA, 16x on FY27E EBITDA	1,706
PV of terminal value	37,016	Forward EV/EBITDA, 18x on FY27E EBITDA	1,927
Enterprise value	50,213	Sell-side broker range (Section 3)	1,300 – 2,200
– Net debt (FY27E est.)	(2,500)	The gap between our DCF (₹1,077) and our own comps-based cross-checks (≈₹1,700–1,930) is the central valuation tension in this report. It exists because the DCF is anchored to organic-plus-visible-consensus growth only (FY27–29, tapering thereafter), while the market's forward multiple is implicitly pricing in continued strategic M&A toward management's \$5bn-by-FY30 ambition. We think both are legitimate ways to read the stock; we set our target at the upper end of the comps range rather than splitting the difference toward the DCF, because the comps-based methods are less sensitive to the single largest assumption (long-run growth) that we cannot verify.	
Equity value	47,713		
÷ Shares outstanding (cr)	44.3		
DCF value / share (₹)	1,077		

WACC of 12.5% and terminal growth of 5% are this report's own assumptions (cost of equity ≈13% off a 6.5% risk-free rate and ≈6.5% ERP with a beta of ≈0.9–1.0; post-tax cost of debt ≈3.4% on the new \$550m facility's 4.6% fixed rate; modest debt weight given still-low leverage). We did not use Coforge's own reported 5-year monthly beta of 0.31 (Yahoo Finance), which looks anomalously low for an Indian IT mid-cap and is more likely a data or estimation artefact than a reliable risk measure.

Sensitivity – DCF value per share (₹), WACC vs terminal growth

	g=4%	g=4.5%	g=5%	g=5.5%	g=6%
WACC 11.5%	1,115	1,181	1,258	1,347	1,452
WACC 12.5%	972	1,021	1,077	1,141	1,215
WACC 13.5%	859	897	939	987	1,041

Even at the most generous combination shown (WACC 11.5%, g=6%), the pure organic-consensus DCF tops out well below the current price of ₹1,784 – reinforcing that the market's valuation is not explainable by the visible organic growth path alone.

Sources are listed in Appendix B. Not investment advice – see disclaimer, p.11.8

7 Valuation (continued)

Rating decision and football field

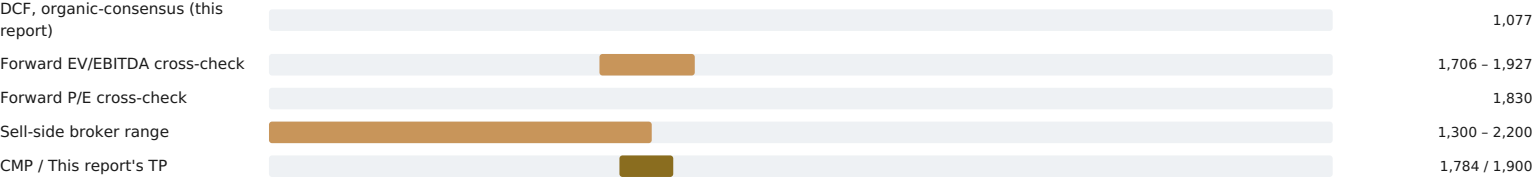
We rate Coforge **HOLD** with a 12-month target price of **₹1,900**, implying +6.5% from the current price of ₹1,784. This sits at the upper end of our own comps-based cross-checks and below the sell-side average of ≈₹1,950–2,000. We deliberately do not follow the Street to an outright Buy, for three reasons that we think are under-weighted in the more bullish notes we reviewed: (1) the governance situation at board level is unresolved as of this report and involves the loss of both the independent Chairman and the independent director chairing the nomination/remuneration committee within days of each other; (2) organic constant-currency growth of ≈1% YoY in the most recent quarter is a genuinely small number to be the foundation of a 49%-headline-growth re-rating story; and (3) leverage is rising from a very low base for the first time in years, alongside ≈20% share dilution from the Encora consideration, both of which reduce the margin for error if integration does not go as smoothly as hoped.

We do not think these concerns justify a Sell — margins and cash conversion are genuinely improving, the order book supports near-term revenue, and the acquired capability (AI-native engineering, LatAm delivery, new verticals) is real and strategically coherent. HOLD, with a target modestly above the current price, reflects that balance.

Rating map

Rating	Expected 12-month return vs CMP	TP needed vs ₹1,784	Where this report's figures fall
BUY	> +20%	> ₹2,141	Several individual broker targets (Motilal Oswal ₹2,200, PL Capital ₹2,120) reach this band; our own view does not
HOLD	−10% to +10%	₹1,606 - ₹1,962	This report's target of ₹1,900 (+6.5%)
SELL	< −10%	< ₹1,606	Ambit's outlier target of ₹1,300 falls well into this band

Valuation football field



Scale: ₹900 (0%) to ₹2,300 (100%). Sources: this report's calculations (Section 7); broker targets per Section 3. Sources are listed in Appendix B. Not investment advice – see disclaimer, p.11.9

8 Risks & what to watch

Governance, integration and the organic-growth gap are the swing factors

Risk	Direction	What could happen	Indicator / trigger
Board governance	Downside	Independent Chairman and NRC Chair both resigned in September 2026 following a KPMG audit finding on suppressed board-evaluation findings; unresolved as of this report	New independent director appointments; any further resignations or regulatory commentary
Organic growth gap	Downside	Q1 FY27 organic CC growth of ≈1% YoY is a thin base under a 49% headline growth number; a slowdown in Encora/inorganic contribution would expose this quickly	Q2 FY27 organic CC growth print (results due ≈23-Oct-26)
Encora integration	Two-sided	Largest-ever ER&D acquisition by an Indian IT firm; integration costs, culture and delivery-model differences, and \$14m of further hedge losses already flagged for the next two quarters	Margin trajectory vs. FY27 guidance; further one-off/exceptional items
Rising leverage	Downside	Total debt stepping up from a near-net-cash position (≈₹15bn per Visible Alpha, FY26) toward ≈₹40bn (FY27E), alongside ≈20% share dilution already taken for Encora's equity consideration	Debt paydown progress against management's stated 3-year, \$550m repayment plan
Client concentration / macro	Two-sided	Significant US-client revenue exposure; a broader IT-budget slowdown would hit new bookings first	US corporate IT-spend commentary; Coforge deal-win disclosures
AI-driven industry disruption	Two-sided	Structural, industry-wide risk to headcount-linked services revenue; Coforge is attempting to monetise via Momentum AI and the Nuuron platform rather than simply absorb the disruption	Revenue-per-employee trend; disclosed AI-linked revenue contribution
Data-quality / valuation-methodology risk	Two-sided	Trailing P/E for the stock is reported anywhere from ≈37x to ≈66x across data providers, reflecting real distortions from the Cigniti/Encora share issuances – a genuine risk of over- or under-paying based on an unadjusted multiple	Watch which share count and which PAT figure (continuing vs. total operations) any quoted multiple is actually using

Monitoring calendar

When	Watch item	Why
≈23 October 2026	Q2 FY27 results	First full quarter with Encora fully in the base; watch organic CC growth specifically, not the headline YoY number
Ongoing	Board reconstitution progress	Tests whether the governance issue remains contained
Ongoing	Debt levels vs. the \$550m, 3-year repayment plan	Tests capital discipline post-acquisition
Ongoing	Hedge/mark-to-market items (the flagged \$14m over the next two quarters)	A known, quantified near-term earnings drag to track against guidance

Sources are listed in Appendix B. Not investment advice – see disclaimer, p.11.10

Appendix A - Summary model

₹ cr	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	16,403	24,400	27,816	31,432	34,890	38,379
EBITDA	3,046	4,880	5,702	6,601	7,431	8,251
EBIT	2,365	3,831	4,590	5,406	6,210	7,023
NOPAT	-	2,835	3,397	4,001	4,595	5,197
FCFF	-	3,006	3,234	3,774	4,284	4,765
PAT (reported/derived)	1,556	≈2,700	≈3,300	≈3,950	-	-

FY26A: Coforge press release (5-May-26). FY27E revenue/EBITDA: Visible Alpha consensus per S&P Global (16-Jun-26). All other cells: this report's own model, built on the assumptions in Section 6, with NOPAT/FCFF/EBIT margins layered on top of the third-party consensus revenue and EBITDA path rather than independently forecast from scratch.

Appendix B - Sources, rating definitions and disclaimer

Key sources

Coforge Q1 FY27 press release (28-Jul-26, news.coforge.com) and coverage by India Infoline, Investing.com/DQ India, Business Standard, Sunday Guardian and Quartr (all 28–29 Jul-26). Coforge FY26 annual results press release (5-May-26, BusinessWire/news.coforge.com) and coverage by Multibagg.ai, Whalesbook and InvestyWise (all early May 2026). Encora acquisition: Coforge press release on deal closure (23-Apr-26), ICICI Direct deal note (29-Dec-25), SiliconANGLE (26-Dec-25), TipRanks (23-Apr-26), and an independent deal teardown at buyabusiness-india.com (4-Aug-26). S&P Global Market Intelligence / Visible Alpha consensus commentary (16-Jun-26). Governance events: Whalesbook coverage (mid-September 2026). Share price, market cap and trading data: Bajaj Broking, Tickertape, Morningstar, Yahoo Finance, Choice India, Kotak Neo, Upstox and Screener.in, all snapshots taken 8–25 September 2026. Broker targets: BusinessToday brokerage roundups (16–18 Sep-26) and TipRanks analyst aggregation. Peer data: Screener.in (Infosys), TipRanks "similar stocks" comparisons (Persistent Systems, LTIMindtree), and Investing.com (Persistent Systems EV/EBITDA).

Rating definitions

Rating	Expected 12-month return vs CMP	Applied
BUY	> +20%	
ACCUMULATE	+10% to +20%	
HOLD	–10% to +10%	Applied: +6.5% to target of ₹1,900
SELL	< –10%	

Disclaimer

This report was prepared for illustration and discussion purposes from publicly available news coverage, company press releases and third-party financial data aggregators as cited above. It is not investment advice, a recommendation to buy or sell any security, or an offer or solicitation. The author is not a SEBI-registered research analyst. Figures drawn from secondary sources (news coverage of company results, and financial-data aggregators) have not been independently verified against primary company filings, and several data points are explicitly flagged in this report as inconsistent across sources (notably Coforge's trailing P/E and FY25A comparative financials) or as this report's own estimates rather than disclosed figures (notably capex intensity, net debt, and all forecasts beyond FY27E). Forecasts and target prices are model outputs based on stated, disclosed assumptions, not predictions. Past performance is not a guide to future returns.

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